

Amendment No. 1 to HB2241

Vaughan
Signature of Sponsor

AMEND Senate Bill No. 2266*

House Bill No. 2241

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 57-7-102, is amended by adding the following as new subdivisions:

() "Biometric age verification system" or "biometric age verification process":

(A) Means a technology platform that includes facial recognition technology capable of matching a purchaser's live image to government issued identification; and

(B) Includes secure digital storage of certification data in compliance with applicable state and federal privacy laws, including the Tennessee Information Protection Act, compiled in title 47, chapter 18, part 33, and the Tennessee Personal and Commercial Computer Act of 2003, compiled in title 39, chapter 14, part 6;

() "Delivery" means the transportation of hemp-derived cannabinoid products by a licensed retailer, or by an employee or agent of the licensed retailer, directly from the retailer's licensed premises to a consumer;

() "Government-issued identification" includes a valid driver license or other valid government-issued photographic identification that confirms a person is at least twenty-one (21) years of age;

SECTION 2. Tennessee Code Annotated, Section 57-7-106(b)(5), is amended by deleting the subdivision.

SECTION 3. Tennessee Code Annotated, Title 57, Chapter 7, is amended by adding the following as new sections:

57-7-119.

(a) A licensed retailer may provide consulting services within this state related to hemp-derived cannabinoid products and products, merchandise, and supplies that the retailer is authorized to sell under this chapter. A licensed retailer may also supply, sell, deliver, and install products authorized to be sold by the retailer to locations outside of the licensed premises.

(b)

(1) A licensed retailer may deliver hemp-derived cannabinoid products directly to a consumer, and a delivery does not require the products to be purchased at the physical location of the retailer in a face-to-face transaction.

(2)

(A) Before an order is processed or confirmed for delivery, the retailer must require the purchaser to complete a biometric age verification process and obtain the purchaser's express written consent for the collection and use of the purchaser's biometric data. For purposes of this subdivision (b)(2)(A), the biometric age verification process includes:

(i) Digital upload and verification; and

(ii) Secure storage of verification data in compliance with applicable privacy and data protection laws.

(B) An order must not be processed or shipped until the biometric age verification process is successfully completed and documented.

(C) The verified purchaser's name must match the name on the government-issued identification used in the biometric verification process.

(D) The purchaser must be the final recipient of the delivery. An HDCP must not be purchased as a gift, or transferred to another individual through the order process; except, that a purchaser may designate an alternate adult recipient who is at least twenty-one (21) years of age; provided, that the alternate recipient completes the same biometric age verification process and presents valid government-issued identification at the point of delivery.

(3)

(A) At the point of delivery, the retailer, or an agent of the retailer, shall verify the recipient's identity by:

(i) Comparing the recipient's physical appearance to the government-issued identification presented;

(ii) Requiring the recipient to present the same government-issued identification used for the online biometric verification process; and

(iii) Confirming that the recipient is twenty-one (21) years of age or older.

(B) The recipient shall verify their identity by signing the delivery documentation confirming that they are the person who placed the order and completed the biometric age verification process.

(4)

(A) A delivery must be made only to the physical address indicated by the purchaser placing the delivery order.

(B) The delivery must be documented by a verification of the delivery signed by the recipient. The documentation must include:

(i) The name of the consumer who placed and received the order;

- (ii) The products delivered;
- (iii) The time of delivery;
- (iv) The place of delivery;
- (v) Confirmation that the recipient's name matched the purchaser's verified identity; and
- (vi) A statement that the recipient presented valid government-issued identification matching the name on the order.

(C) Records for all deliveries must be maintained for a minimum of three (3) years and made available to the commission upon request.

(5) An HDCP must be transported in compliance with § 57-7-109.

(6) A person who delivers HDCPs on behalf of a licensed retailer must be at least twenty-one (21) years of age and must present valid identification confirming the person's age upon request by the commission or law enforcement.

(c) It is unlawful for a person or entity to:

(1) Sell HDCPs directly to a consumer without complying with the biometric verification requirements under subsection (b);

(2) Deliver HDCPs to a person who is unable to provide valid government-issued identification matching the name of the purchaser;

(3) Deliver HDCPs to a location other than the physical address indicated by the purchaser placing the delivery order;

(4) Process or ship an order before the biometric age verification process has successfully been completed; or

(5) Permit the transfer or purchase of HDCPs to a person other than the verified purchaser.

(d)

(1) A person or entity that engages in unlawful conduct described in subdivisions (c)(1)-(5) is subject to:

(A) For a first violation, a civil penalty of not less than five hundred dollars (\$500) nor more than one thousand dollars (\$1,000);

(B) For a second offense within a three-year period, a civil penalty of not less than one thousand dollars (\$1,000) nor more than five thousand dollars (\$5,000) and suspension of the person's or entity's license for not less than thirty (30) days; and

(C) For a third or subsequent offense within a three-year period, a civil penalty of not less than five thousand dollars (\$5,000) nor more than ten thousand dollars (\$10,000) and revocation of the person's or entity's license.

(2) Each unlawful delivery or sale constitutes a separate offense.

(e)

(1) Raw biometric data, including facial recognition scans, biometric templates, and live images captured during the biometric age verification process must be purged and permanently deleted within thirty (30) days after successful completion of the biometric age verification process.

(2) Verification records documenting that biometric age verification occurred, including the date of verification, result of the verification, and identification information, must be retained for three (3) years from the date of the transaction.

(3) Purging of biometric data must be accomplished through secure deletion methods that render the data permanently irretrievable and unrecoverable.

(4) Retailers shall maintain documentation demonstrating compliance with biometric data purging requirements and shall make the documentation available to the commission upon request.

(5) The retention and purging requirements of this subsection (e) apply to retailers and any third-party biometric verification system providers used by retailers.

57-7-120.

(a) The commission shall establish and issue delivery service licenses in accordance with this section. A delivery service license may be issued to a licensed retailer that sells sealed packages of hemp-derived cannabinoid products under this chapter.

(b)

(1) A licensed retailer, including a partnership, limited liability company, or corporation, may apply to the commission for a delivery service license on forms and pursuant to procedures established by the commission.

(2)

(A) An applicant must be at least twenty-one (21) years of age to be eligible for a delivery service license and must not have been convicted of a felony involving moral turpitude, within ten (10) years prior to the time the applicant applies for a license.

(B) The commission may issue a delivery license to a licensed retailer, including a partnership, limited liability company, or corporation, that is registered to do business in this state regardless of state residence.

(c) An applicant for a delivery service license shall pay to the commission a one-time, nonrefundable application fee in the amount of three hundred dollars (\$300) when the application is submitted for review. If approved, an additional, annual license fee of one hundred fifty dollars (\$150) is due prior to issuance or renewal of the license.

57-7-121.

(a) A delivery licensee may use either retail employees or independent contractors to deliver hemp-derived cannabinoid products. A person delivering products for a licensed retailer shall comply with this section.

(b) A delivery licensee shall conduct, or have a third party conduct, a state and national criminal history background check on any potential employee or independent contractor that seeks to be licensed pursuant to this section. The background check must include a multistate criminal records locator or other similar commercial nationwide database with validation.

(c) A delivery licensee shall ensure that each employee or independent contractor who delivers hemp-derived cannabinoid products pursuant to this chapter is licensed pursuant to this section.

(d) A person used or employed by a delivery licensee to deliver an HDCP must meet the following requirements:

(1) Be at least twenty-one (21) years of age as required under § 57-7-119;

(2) Have passed a background check conducted pursuant to subsection (b) to ensure the person has not been convicted of:

(A) A crime involving the sale and distribution of hemp-derived cannabinoid products or controlled substances within the previous seven (7) years; or

(B) A felony within the previous five (5) years; and

(3) Have a valid driver license.

(e) In addition to the annual license fee in § 57-7-120(c), a delivery licensee shall pay a fee based on the total number of delivery service employees or independent contractors used by the delivery service licensee to deliver HDCPs. The fee schedule is as follows:

(1) 0-15 delivery drivers.....\$50

(2) 16-30 delivery drivers.....\$100

(3) 31-45 delivery drivers.....\$150

(4) 46-60 delivery drivers.....\$200

(5) For each additional thirty (30) delivery drivers over sixty (60) an additional fifty dollars (\$50.00), up to a maximum fee of one thousand dollars (\$1,000).

(f) A delivery licensee may be subject to fines or the suspension or revocation of its license by the commission based on a delivery driver violating this chapter. The retailer is not subject to a fine or the suspension or revocation of its license based on conduct of an independent contractor delivery driver after the driver picks up or receives a hemp-derived cannabinoid product from the retailer.

(g)

(1) Beginning January 15, 2028, and by each January 15 thereafter, a delivery licensee shall submit a report detailing the number of delivery drivers used by the delivery licensee to deliver hemp-derived cannabinoid products in the prior calendar year.

(2) Each delivery licensee shall maintain for each delivery driver covered by the licensee's delivery service license:

(A) A record sufficient to verify the identity of each delivery driver;

(B) A copy of the driver license for each delivery driver; and

(C) A copy of the background check conducted for that delivery driver pursuant to subsection (b).

(3) The records that a delivery licensee is required to maintain under subdivision (g)(2) must be made available to the commission upon request.

SECTION 4.

The commission shall promulgate rules to effectuate this act, including, but not limited to:

(1) Rules for the duration and renewal of licenses issued pursuant to this act;

(2) Specifications for biometric age verification systems, including security standards, data retention protocols, and privacy compliance requirements;

(3) Standards for verification documentation and recordkeeping;

(4) Procedures for retailers to register as approved hemp shippers;

(5) Procedures for the commission's access to delivery and shipping records; and

(6) Any other rules that the commission, in its sole discretion, deems necessary to ensure compliance with this act and for consumer safety, particularly regarding age verification and prevention of underage access to hemp-derived cannabinoid products.

SECTION 5. This act takes effect upon becoming a law, the public welfare requiring it.